

producing an important enough stream of new products so that the company could be depended on to show an uninterrupted upward trend in sales and profits. These research products had quite justifiably a special appeal to the financial community because many of the newer ones only indirectly competed with older products of other companies. Primarily, the new products enabled high-priced labor to do the same job in considerably less time than had previously been required. There were enough savings offered to the ultimate customer of these products to justify a price which should afford Raychem a pleasing profit margin. All this caused the stock toward the end of 1975 to reach a high of over \$42½ (price adjusted for subsequent stock splits)—a level about 25 times the estimated earnings for the fiscal year ending June 30, 1976.